Iran Calls. Market Answers.

S&P +1.01% to 6,885. Trump says Iran wants a deal — blockade begins, market shrugs the open and closes near highs. Software led; FAST fell on in-line earnings.

THE SESSION

The market opened lower and then reversed course entirely, finishing near session highs. Futures had positioned for a difficult day — the Strait of Hormuz blockade took effect at 10 AM ET, oil surged overnight, and talks in Islamabad ended without an agreement. But Trump posted midmorning that Iran had reached out to his administration seeking a deal, and that single signal was enough. The S&P 500 finished at 6,885, up 1.01%, reclaiming all losses from the start of the war. The Nasdaq led at +1.23%. Oil, which had spiked as high as $102 on Brent overnight, settled closer to $99 by the close — paring the morning's gains as the diplomatic signal tempered the supply-shock fear.

Software was the session's standout trade. Oracle surged approximately 11% on AI-related momentum, and the software ETF (IGV) had its best single session in nearly a year — a reversal of Friday's breakdown below support that technical analysts are calling a false breakdown. Goldman Sachs opened strong on its Q1 earnings but gave back gains after a revenue miss in fixed-income and currencies trading, ending the day lower. Airlines declined across the board on elevated fuel costs and weekend flight disruptions. The session confirmed what the prior week had begun to establish: this market is trading the diplomatic signal, not the military one.

Q1 earnings season opens with Goldman's mixed print setting the tone. Second-highest quarterly profit on record, but fixed-income trading fell short of expectations. The broader question for the week — whether war-era uncertainty will compress guidance across sectors — will sharpen as JPMorgan, Wells Fargo, Citigroup, and Goldman Sachs peers report through Wednesday.

IOWN Tactical: The S&P has now recovered to its pre-war level. The portfolio's construction through this period — defense, energy, semis, and digital assets — was built for exactly this kind of volatile-but-resolving environment. Positions were never the question. Patience was.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

MARA +8.60% GROWTH PORTFOLIO

Crypto mining names surged with Bitcoin rising to ~$73,090 (+3.30%). MARA extended its run as BTC sentiment improved on the Iran-deal narrative.

HUT +5.56% GROWTH PORTFOLIO

Hut 8 also moved sharply higher alongside the Bitcoin rally. Digital asset miners remain among the highest-beta expressions of crypto momentum in the portfolio.

COIN +3.98% GROWTH PORTFOLIO

Coinbase gained as Bitcoin and broader crypto sentiment improved. The Growth Portfolio's digital asset exposure (COIN, MARA, HUT, IBIT, ETHA) moved together.

HOOD +3.58% GROWTH PORTFOLIO

Robinhood benefited from the risk-on session. Retail trading platform volume tends to correlate with crypto and equity market momentum.

ADP +3.49% DIVIDEND STRATEGY

ADP recovered sharply following last week's BMO price-target cut. The rebound suggests the sell-off was overdone; underlying fundamentals in HR technology and payroll processing remain intact.

STLD +2.57% DIVIDEND STRATEGY

Steel Dynamics gained as the broader industrial complex responded to easing oil prices and renewed hopes for a diplomatic resolution. Domestic steel demand thesis intact.

SYK +2.39% DIVIDEND STRATEGY

Stryker announced a definitive agreement to acquire Amplitude Vascular Systems, a developer of intravascular lithotripsy (IVL) technology for calcified peripheral arterial disease. The deal expands Stryker's peripheral vascular portfolio and was received positively.

QCOM +2.48% DIVIDEND STRATEGY

Qualcomm continued its rebound alongside the broader semiconductor recovery. AI-related chip demand and CPU pricing power remain supportive tailwinds.

DECLINERS

FAST –6.85%

DIVIDEND STRATEGY

Fastenal reported Q1 EPS of $0.30, matching consensus, on revenue of $2.2B (+12.2% YoY) — also in-line. Daily sales growth of 12.4% marked the third consecutive quarter of double-digit expansion. Despite the solid fundamentals, the stock sold off sharply: gross margin contracted 50 basis points to 44.6% due to price/cost headwinds, and in-line results in a risk-on session carried limited upside catalyst. The industrial distribution business remains operationally strong; today's move reflects valuation sensitivity rather than a change in business trajectory.

EIX –4.40%

GROWTH PORTFOLIO

Edison International declined without a specific catalyst. Rate-sensitive utilities faced headwinds as the market's risk-on rotation pulled capital toward equities. The Iran war's energy cost pressures remain a structural headwind for California utilities dependent on gas-fired generation.

BKH –2.21%

DIVIDEND STRATEGY

Black Hills Corporation also retreated in the rate-sensitive utility rotation. No company-specific news; broader defensive outflows drove the move.

NEE –1.89%

DIVIDEND STRATEGY

NextEra Energy fell alongside peers. Despite the long-term thesis that elevated fossil fuel costs strengthen the case for renewables, the near-term rate environment continues to weigh on utility valuations.

HOLDINGS NEWS

SYK — Stryker acquires Amplitude Vascular Systems. Stryker signed a definitive agreement to acquire AVS, a Boston-based developer of an intravascular lithotripsy platform that uses pulsed CO_2-generated pressure waves to treat calcified peripheral arterial disease. Terms were not disclosed. CEO Kevin Lobo characterized the deal as expanding Stryker's peripheral vascular platform into a fast-growing cardiovascular procedure. The stock rose 2.39% on the news, consistent with the company's historical pattern around portfolio-focused acquisitions.

FAST — Q1 earnings in-line; gross margin pressure drove the sell-off. Revenue of $2.2B and EPS of $0.30 both matched consensus. The concern is margin: gross profit as a percent of net sales contracted from 45.1% to 44.6%, driven by unfavorable price/cost dynamics of approximately 50 basis points. Digital channels now represent 61.5% of quarterly sales and FMI device agreements grew 8% year-over-year. The industrial distribution franchise is performing; the premium valuation (44.7x P/E) left little room for anything short of a beat.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.50%

vs. DVY –0.04% | IWS +1.06%

GROWTH PORTFOLIO ✗ TRAIL

+1.16%

vs. IUSG +1.24%

YEAR-TO-DATE

Dividend +9.30% vs DVY +7.96% / IWS +8.54%
Growth +3.49% vs IUSG –0.31%

The Dividend Strategy returned +0.50% today, beating DVY (−0.04%) and trailing IWS (+1.06%). The Growth Portfolio returned +1.16%, slightly behind IUSG (+1.24%). Both strategies participated in the session's recovery; the Dividend Strategy's modest relative lag to IWS reflects the utility drag (BKH, NEE, EIX) against strong gains in ADP, STLD, SYK, and QCOM. The Dividend Strategy is up +9.30% YTD; Growth is up +3.49% YTD. Benchmark YTD for context: DVY +7.96%, IWS +8.54%, IUSG −0.31%.